

Price Action Strategy

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How a \$5M Trader Executes His Price Action Strategy Live

Summary of the video "Verified \$5M+ Trader: LIVE Trading Using His EXACT Strategy" by Chart Fanatics.

A verified \$5M+ trader breaks down his exact price action strategy using trend identification, level analysis, and specific candle patterns (break-retest, bounce, rejection), then executes it live during market open, making \$1,200 in 8 minutes while demonstrating disciplined position sizing, scaling, and journaling.

Core Strategy Framework

Trend Identification via Highs and Lows

Identify trends by tracking successive highs and lows rather than parallel lines. An uptrend has higher highs and higher lows; a downtrend has lower highs and lower lows. This determines which direction (calls or puts) to trade.

Level Identification on Hourly Timeframe

Mark pivoting points where price reversed on the hourly chart, focusing on candle open prices rather than wicks. These levels are where entries and exits cluster. Assign confidence levels (5/5 for strong pivots, 3/5 for opening prices, 2.5/5 for invalidated levels) to guide position sizing.

Two-to-Five-Minute Entry Execution

After identifying hourly trends and levels, watch the 2–5 minute timeframe for candle patterns that signal entry. Prefer 5-minute candles for conviction, but use 2-minute if both align. Skip the first 5 minutes of market open to avoid volatility and false breakouts.

Three Core Candle Patterns

Break and Retest Pattern

Price breaks above (or below) a level on a 5-minute candle, then retests it on the next candle(s). Ideal setup has a small wick below the level but body above it, showing buyers quickly defending. Enter as close to the level as possible with a tight stop-loss just below the wick.

Bounce Pattern (Calls Setup)

In an uptrend, price approaches a support level from above, creates 2–3 candles with bodies above the level but wicks probing below it. This shows sellers exhausting while buyers hold. Enter near the level with stop-loss at the lowest wick point.

Rejection Pattern (Puts Setup)

In a downtrend, price approaches a resistance level from below, creates multiple candles with bodies below the level but wicks pushing up unsuccessfully. This shows buyers exhausting while sellers hold. Enter near the level targeting the next lower level.

Position Management and Scaling

Risk Acceptance and Position Sizing

Before entering, calculate your exact risk (stop-loss distance × contracts). You must psychologically accept losing that amount; if you cannot, reduce size or skip the trade. Never let P&L anxiety override your stop-loss discipline.

Two-Entry Maximum Rule

On the same setup, take a maximum of two entries. If stopped out once, you may retry once more. A third entry on the same setup is overtrading and breaks discipline. This prevents revenge trading and capital bleed.

Scaling Out and Stop-Loss Shifting

Once price reaches 2R (two times your risk), trim 50% of position. Shift stop-loss above entry so remaining contracts are profitable even if stopped out. Continue trimming at higher multiples, shifting stop-loss with each green candle to reduce stress and lock in gains.

Target: 2R Multiple (Not Home Runs)

Aim for 2R or 1.5R per trade, not 5R or 10R home runs. Consistent 2R trades accumulate more annual profit than rare large wins because they execute more frequently and with higher win rates. Anything above 2R is exceptional.

Pre-Market Preparation Workflow

Pre-Market Plan: 10-Name Watchlist

Before market open, identify 5–10 stocks with clear trends and levels. For each, note whether you expect a break-retest, bounce, or rejection setup. Check the economic calendar for news that could disrupt trading. This plan guides all decisions during the session.

Confidence-Based Position Sizing

Assign a confidence level (1–5) to each level based on how many times price pivoted there. Size positions inversely: high-confidence levels get full size; low-confidence or off-plan setups get 25–50% size to limit damage if wrong.

Daily Trade Limit: 2–4 Trades

Aim for 2–3 high-quality trades per day; 4+ is overtrading. This preserves focus, capital, and emotional energy. In 2023, the trader took 8–9 trades daily but has since reduced to focus on quality over quantity as market conditions tightened.

Live Trading Execution Example

Tesla Trade: Break-Retest Setup

Pre-market plan identified Tesla uptrend with level at 420.68. Market open approached the level; trader entered 16 contracts at 575 (option price) when price touched the level. Trimmed 10 contracts at 2R, then 2 more, leaving 4 runners with stop-loss shifted to breakeven. Final exit at stop-loss after price rejected the level on 5-minute retest. Result: \$1,200 profit in 7–8 minutes.

Mistakes Identified in Trade Review

Entry was 4 cents above the ideal level; a perfect entry would have been 4 cents lower, yielding more profit. No rejection on 5-minute candle (ideal would have had one). Despite these, the trade was rated 3.5/5 stars because rules were followed and profit was taken.

Post-Trade Journaling System

Detailed Trade Breakdown Template

After each trade, log: entry price, stop-loss, risk amount, target, actual exit, setup type (break-retest/bounce/rejection), mistakes, rules followed, star rating (1–5), and whether trade was planned. This creates a searchable database to identify patterns in wins and losses.

Star Rating System (1–5)

5 stars: perfect entry at level, clean candle pattern, no rejection, rules followed. 4 stars: minor mistakes but solid execution. 3 stars: good profit but notable errors (bad entry, early exit). 1–2 stars: losses or poor execution. Use ratings to identify which setups yield highest win rates.

Rules Checklist in Journal

Mark whether each trade followed key rules: waited for first 5-min candle, used levels, used candle patterns, checked relative strength, kept tight stop-loss, consistent position size, was in pre-market plan, respected stop-loss, and scaled out. This reveals which rules are most often broken.

Key Psychological and Discipline Insights

Hide P&L During Trades

Once in a position, hide the profit/loss display. Watching P&L fluctuate causes emotional decisions (taking profit early, moving stop-loss, revenge trading). Focus only on the chart and price action. Let the stop-loss or target hit naturally.

FOMO and Missed Opportunities

Fear of missing out (FOMO) is normal but dangerous. If price doesn't touch your level or create your pattern, skip it—no entry is better than a bad entry. Accept that you will miss some moves; consistency beats home runs. The trader regularly skips setups that don't meet criteria.

One-and-Done Mentality

After a winning trade, stop trading for the day. Lock in profits and avoid the temptation to 'give it back' by chasing more trades. This discipline has led to many 'one and done' days with solid daily profits.

Trading Only 1 Hour Per Day (Execution)

The trader executes for only 1 hour daily (typically market open), with 1 hour prep before and 1 hour journaling after. This focuses energy on the highest-probability window and prevents overtrading during low-quality hours.

Common Trader Mistakes to Avoid

Refusing to Close at Profit

Worst excuse: 'I still have 2–3 days till expiration; Tesla might boom.' Day trading is about here-and-now execution, not overnight holds. Close at your target and walk away. Holding overnight exposes you to gap risk, decay, and overnight news.

Re-entering After a Winning Trade

Once you exit a trade, it's done. Do not re-enter the same setup on the same day, even if price retests the level. This is revenge trading disguised as opportunity. Move to the next setup or close the day.

Trading Without Accepting Risk

If you cannot psychologically accept your stop-loss amount, you are trading too large. Reduce size until you can calmly accept the loss. Trading with fear leads to early exits, moved stops, and losses.

Chasing Setups That Don't Fit Criteria

If the chart looks 'weird,' choppy, or doesn't fit your pre-market plan, skip it. Taking off-plan trades with smaller size occasionally is acceptable, but chasing every move is overtrading.

Why This Strategy Works

Price Action + Orderflow Confirmation

The strategy uses price action (trends, levels, candle patterns) as the core, with optional orderflow (bookmap) as confirmation on liquid instruments like SPY and QQQ. This dual approach increases conviction without adding complexity.

Simplicity and Repeatability

Only three candle patterns (break-retest, bounce, rejection) and two timeframes (hourly for planning, 2–5 minute for entry). This simplicity makes the strategy teachable, testable, and emotionally manageable. No indicators, no black-box systems.

Works Across Options, Futures, and Stocks

The same trend and level logic applies to options (Tesla, SPY, QQQ), futures (ES, NQ), and stocks. Only the contract selection and Greeks change; the core setup remains identical.

Notable quotes

Once I'm in a position, I just don't look at the P&L. I just look at the chart. — Gala Trades

Best case for me is when the price is touching, dipping slightly lower than the level and then getting back above the level. — Gala Trades

My rule is just not take three entries on the same setup. If I'm doing three entries, that's the break of rule. That's overtrading for me. — Gala Trades

Action items

Identify the hourly trend on your watchlist stocks by tracking higher highs/lows (uptrend) or lower highs/lows (downtrend).

Mark pivoting points on the hourly chart as levels; assign confidence scores (5/5 for strong pivots, 3/5 for opening prices).

Create a pre-market plan listing 5–10 stocks with expected setups (break-retest, bounce, or rejection) before market open.

Wait for the first 5-minute candle to close after market open before entering any trade.

Enter only when price creates one of the three patterns: break-retest (price breaks level, retests with small wick), bounce (2–3 candles with bodies above level, wicks below), or rejection (2–3 candles with bodies below level, wicks above).

Place stop-loss just below (or above) the lowest wick of the entry candle; calculate exact risk before entering.

Trim 50% of position when price reaches 2R; shift stop-loss above entry so remaining contracts are profitable if stopped.

Target 2R multiple, not 5R or 10R; scale out on further moves and shift stop-loss higher with each green candle.

Hide P&L display while in trades to avoid emotional decisions.

After each trade, journal: entry, stop-loss, risk, exit, setup type, mistakes, rules followed, and star rating (1–5).

Limit trades to 2–3 per day; skip setups that don't fit your pre-market plan or look 'weird.'

Never re-enter the same setup on the same day; once a trade is closed, it's done.

Accept your stop-loss amount psychologically before entering; if you cannot, reduce size or skip the trade.

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